

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning | Prepared for Philip Griffin | February 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the **2026 tax year**, tailored to your financial profile as a high-income W-2 professional in Wilmington, Delaware with a newly formed Single-Member LLC and aggressive growth objectives. The strategies examined span retirement contribution optimization, business deductions through your LLC, real estate investment concepts, and Bitcoin-centric portfolio scenarios aligned with your stated goals.

All 2026 figures reference **IRS Rev. Proc. 2025-32** contribution limits and incorporate provisions from the **One Big Beautiful Bill Act (OBBBA)**, signed July 4, 2025, including restored 100% bonus depreciation, expanded Section 179, raised SALT cap, and permanent individual tax rates.

Based on the strategies modeled in this snapshot, the analysis models potential first-year value ranging from **\$57,866 (conservative scenario)** to **\$260,075 (aggressive scenario including real estate acquisition)**. These figures combine tax optimization, projected investment income and appreciation, cash flow improvements, and wealth-building contributions. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

⚠ SECURE 2.0 Alert: Based on the income range indicated (\$200–299K), FICA wages likely exceeded \$150,000 in 2025. Under SECURE 2.0, 2026 catch-up contributions to your employer 401(k) must be designated Roth (not pre-tax). Discuss this requirement with your HR department and CPA immediately.

Current Financial Position

FILING STATUS Single	AGE 56 (born ~1969)	LOCATION Wilmington, Delaware
W-2 INCOME \$200,000–\$299,000	TOTAL INVESTMENTS \$500,000+	LIQUID CAPITAL \$50,000+
CREDIT SCORE 720–759	COMFORTABLE DEPLOYING \$5,000–\$10,000	BITCOIN POSITION Small (under 1%)

Business & Entity Structure

ITEM	DETAIL
Employment	W-2 employee only (currently)
Business Entity	Single-Member LLC (taxed as sole prop) — established <6 months ago in Delaware
Business Income	Pre-revenue; planning consulting, coaching, real estate services
Equipment Needs	Moderate (\$2,000–\$10,000); vehicle purchase planned for business use
Home Office	Dedicated area (not full room) — potential deduction
Housing	Living with family/other arrangement

Current Retirement & Tax Strategy

STRATEGY	CURRENT STATUS
Employer 401(k)	Contributing max (\$23,500 in 2025); mix of pre-tax, Roth, after-tax
Backdoor Roth IRA	Yes — doing annually
HSA	No — no HDHP currently; interested

Solo 401(k)	No self-employment income yet (LLC pre-revenue)
Emergency Fund	4–6 months
Existing Debt	\$5,000–\$9,000

Estimated Marginal Tax Rate

COMPONENT	RATE
Federal (estimated at ~\$250K single, taxable income ~\$234K per 2026 brackets)	32%
Delaware State (top bracket, income over \$60K)	6.6%
Wilmington City Wage Tax (earned income)	1.25%
Combined Marginal Rate	~39% (used for calculations below; city tax additional)

Rate Note: The 39% combined rate (32% federal + 6.6% state) is used for tax savings calculations throughout this document. Wilmington's 1.25% city wage tax on earned income is an additional layer that may increase effective savings on certain strategies. The 2026 federal standard deduction for single filers is \$16,100 (per Rev. Proc. 2025-32). If actual W-2 income is closer to \$275K+, the federal marginal rate may be 35% (taxable income above \$256,225). Verify your exact bracket with your CPA.

Stated Goals & Key Context

GOAL / CONTEXT	DETAIL
Tax Reduction Target	Reduce tax bill by 50% or ~\$18,000
Income Stream Target	\$40,000/month within 2 years
Retirement Timeline	2029 (age 59¾) — plans to retire ex-US

Real Estate Interest	Ownership (down payment + financing), syndications, 2–3 ex-US properties
Asset Protection	Planning Nevis LLC; educated in trust administration (U of Delaware)
Side Business Plans	Consulting, coaching/teaching, real estate investing
Risk Tolerance	Aggressive — maximum growth, comfortable with significant volatility
Other	Trustee of mother's revocable trust; storage unit auctions (donations); interested in self-directed IRA

Profile data is self-reported. Verify all figures with financial records and your CPA. Tax rate is an estimate — exact rate depends on deductions, credits, and final AGI.

Key 2026 Tax Law Changes (OBBBA & SECURE 2.0)

The **One Big Beautiful Bill Act (OBBBA)**, signed July 4, 2025, made several changes affecting the strategies in this snapshot. These provisions are incorporated throughout this document:

OBBBA Provisions Relevant to Your Profile:

- **100% Bonus Depreciation (Permanent):** Restored for qualified property acquired and placed in service after January 19, 2025. Critical for cost segregation strategies on STR property.
- **SALT Cap Raised to \$40,000:** State and local tax deduction cap increased from \$10,000. Relevant if itemizing (Delaware income tax + property taxes).
- **Section 179 Expanded to \$2,500,000:** Maximum deduction increased from \$1,000,000. Phase-out at \$4,000,000. Applies to qualifying business equipment and vehicles.
- **Non-Itemizer Charitable Deduction (New):** Starting 2026, single filers taking the standard deduction can deduct up to \$1,000 in cash charitable contributions. Relevant to your storage unit donation activity.
- **QBI Deduction Made Permanent:** 20% qualified business income deduction for pass-through entities (your LLC) is now permanent. Applies when LLC generates income.
- **Individual Tax Rates Made Permanent:** 7-bracket structure (10%–37%) is now permanent, eliminating the scheduled 2026 reversion to pre-TCJA rates.

SECURE 2.0 Roth Catch-Up Mandate (2026): If your 2025 FICA wages from the same employer exceeded \$150,000, your 2026 401(k) catch-up contributions (\$8,000) must be designated as Roth, not pre-tax. This reduces the immediate tax deduction but positions contributions for tax-free growth. Confirm with HR and CPA.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

TIMING	CONSIDERATION
Week 1	W-2 401(k) Optimization: 2026 employee deferral limit is \$24,500 (up from \$23,500 per Rev. Proc. 2025-32). Plus \$8,000 Roth catch-up (ages 55–59). Confirm new deferral elections through employer payroll portal. Discuss SECURE 2.0 Roth catch-up mandate with CPA — catch-up contributions likely must be Roth for 2026.
	2025 Backdoor Roth: Confirm 2025 Backdoor Roth IRA contribution (\$7,000 + \$1,000 catch-up = \$8,000) is funded before April 15, 2026. If not yet completed, this is time-sensitive.
Week 2	LLC Revenue Planning: Discuss with CPA when consulting/coaching income may begin flowing through LLC. Solo 401(k) establishment requires the plan to exist by December 31, 2026 for employee deferrals — earlier is better for contribution planning. Note: QBI deduction (20%, now permanent under OBBBA) applies to qualifying LLC income.
Week 3	HDHP/HSA Exploration: Review health insurance options. If an HDHP becomes available (employer open enrollment or marketplace), HSA contributions of \$4,400 individual + \$1,000 catch-up (age 55+) = \$5,400 become available. Discuss timing with benefits coordinator.
	Augusta Rule Documentation: If LLC is operational and board meetings or business use of personal space occurs, discuss Augusta Rule (IRC §280A(g)) documentation with CPA — fair market value substantiation, rental agreement, and meeting minutes required. Potential for up to 14 days of tax-free rental income.
Week 4	Vehicle Strategy: Discuss business vehicle purchase timing and documentation (mileage log, business-use percentage) with CPA. 2026 mileage rate: 72.5¢/mile. Section 179 (expanded to \$2.5M under OBBBA) and 100% bonus depreciation may apply to qualifying vehicles (over 6,000 lbs GVWR for full deduction).
	Investment Scenario Review: Discuss Bitcoin/STRC/ETF allocation concepts with a licensed financial advisor. Review risk tolerance and timeline alignment with 2029 ex-US retirement goal.

Real Estate & International: If pursuing STR investment, begin researching markets, cost segregation study providers, and property management options. OBBBA restored 100% bonus depreciation for property acquired after January 19, 2025. For ex-US property and Nevis LLC plans, consult with an international tax attorney to understand FBAR/FATCA reporting, foreign tax credit planning, and entity structuring before retirement.

All timeline items are considerations for discussion with your professional team, not directives. Prioritization depends on your specific circumstances.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Backdoor Roth IRA	\$7,000 + \$1,000 catch-up (age 50+) = \$8,000	April 15, 2026	Confirm 2025 contribution is funded; you indicated you do this annually
HSA Contributions	\$4,300 individual + \$1,000 (55+) = \$5,300	April 15, 2026	N/A — no HDHP in 2025
Solo 401(k) Employer Portion	25% of net SE income (plan must exist)	Tax filing + extensions	Only if LLC had SE income in 2025 and plan was established by Dec 31, 2025
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Alternative if Solo 401(k) was not established in 2025

No Longer Available for 2025: Employee 401(k) deferrals (December 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (December 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy Concept: W-2 401(k) Maximization (2026)

Potential Value: \$390 incremental tax savings + \$32,500 wealth positioned

What It Is: Increasing 401(k) deferrals to the 2026 limit of \$24,500 (up \$1,000 from 2025 per Rev. Proc. 2025-32) plus the \$8,000 catch-up for ages 55–59. At a 39% marginal rate, the additional \$1,000 pre-tax deferral models ~\$390 in tax savings. Total contribution: \$32,500 (\$24,500 + \$8,000).

How It Works:

1. Update payroll deferral election to \$24,500 base + \$8,000 catch-up for 2026
2. Catch-up contributions (\$8,000) must be designated Roth under SECURE 2.0 if 2025 FICA wages exceeded \$150,000
3. Continue Mega Backdoor Roth (after-tax contributions) if plan permits — discuss with HR

Eligibility Criteria: Active W-2 employment with 401(k) plan; age 50+ for catch-up

Verify contribution limits and SECURE 2.0 Roth catch-up applicability with your CPA and HR department. 2026 limits shown per Rev. Proc. 2025-32.

Strategy Concept: Backdoor Roth IRA (2026)

Potential Value: \$8,600 wealth positioned tax-free for retirement

What It Is: A two-step process to fund a Roth IRA regardless of income limits. For 2026, the base limit is \$7,500 plus \$1,100 catch-up (age 50+) = \$8,600. This positions after-tax dollars for tax-free growth and withdrawal in retirement — particularly valuable given your 2029 retirement target.

How It Works:

1. Contribute \$8,600 to a Traditional IRA (non-deductible)
2. Convert to Roth IRA promptly (ideally next business day)
3. File Form 8606 with tax return; ensure no pre-tax IRA balances exist (pro-rata rule)

Eligibility Criteria: Earned income $\geq$ contribution amount; no pre-tax Traditional IRA balances (to avoid pro-rata taxation)

You indicated you already do this annually. Confirm 2025 contribution is funded before April 15, 2026, then execute 2026 contribution. Verify with CPA. 2026 limits shown.

Strategy Concept: Augusta Rule (IRC §280A(g))

Potential Value: \$2,730–\$3,822 tax savings / \$7,000–\$9,800 tax-free income

What It Is: A provision allowing rental of your personal residence to your business for up to 14 days per year without reporting the rental income. The business deducts the rent; you receive tax-free income. At 39% marginal rate: 14 days $\times$ \$500–\$700/day = \$7,000–\$9,800 income, generating \$2,730–\$3,822 in modeled tax savings.

How It Works:

1. LLC rents your personal space for legitimate business purposes (board meetings, strategy sessions, client consultations)
2. Document fair market value with comparable rental data (hotels, conference rooms)
3. Maintain rental agreement, meeting minutes/agendas, and payment records

Eligibility Criteria: Active business entity; legitimate business purpose for each rental day; fair market value documentation; 14 days or fewer per year

Documentation is critical for this strategy. Work with a qualified CPA to ensure proper substantiation. 2026 tax year.

Strategy Concept: Home Office Deduction

Potential Value: \$293–\$585 tax savings

What It Is: You indicated a dedicated area for business use. The simplified method allows \$5/sq ft (up to 300 sq ft = \$1,500 max deduction). At 39% marginal rate: \$750–\$1,500 $\times$ 39% = \$293–\$585 modeled savings. The regular method may yield higher deductions based on actual expenses.

How It Works:

1. Measure dedicated business-use area; ensure regular and exclusive use

2. Choose simplified (\$5/sq ft) or regular method (proportional actual expenses)
3. Report on Schedule C (through LLC)

Eligibility Criteria: Self-employment income through LLC; regular and exclusive business use of space

Deduction is available once LLC generates income. Verify method selection with CPA. 2026 tax year.

Strategy Concept: Business Vehicle Expense (2026)

Potential Value: \$1,414–\$2,828 tax savings

What It Is: You indicated planning to purchase a vehicle for business use. The 2026 standard mileage rate is 72.5¢/mile (IRS Notice 2026-10). At 5,000–10,000 estimated business miles $\times$ \$0.725 = \$3,625–\$7,250 deduction $\times$ 39% = \$1,414–\$2,828 modeled savings. Section 179 deduction (expanded to \$2,500,000 under OBBBA) and 100% bonus depreciation may apply to qualifying vehicles (over 6,000 lbs GVWR for full deduction).

How It Works:

1. Maintain contemporaneous mileage log from day one (date, destination, business purpose, miles)
2. Choose standard mileage rate or actual expense method in first year (binding for life of vehicle)
3. If vehicle qualifies for Section 179, potential first-year deduction may be significant — discuss with CPA

Eligibility Criteria: Business-use percentage must be documented; LLC must have business income to offset

Start mileage log immediately upon vehicle purchase. Discuss Section 179 vs. standard mileage with CPA. 2026 rate: 72.5¢/mile per IRS Notice 2026-10.

Strategy Concept: Section 179 Equipment Deduction

Potential Value: \$780–\$3,900 tax savings

What It Is: You indicated moderate equipment purchases (\$2,000–\$10,000) including computer and tech equipment. Section 179 allows immediate expensing of qualifying business assets. Under OBBBA, the maximum Section 179 deduction is now \$2,500,000 (up from \$1,000,000), with phase-out beginning at \$4,000,000. At 39% marginal rate: \$2,000–\$10,000 $\times$ 39% = \$780–\$3,900 modeled savings.

How It Works:

1. Purchase qualifying equipment used >50% for business through LLC
2. Elect Section 179 on Form 4562 with tax return

3. Maintain receipts, business-use logs, and asset register

Eligibility Criteria: Active business with income; equipment used primarily (>50%) for business; purchased and placed in service during tax year

Deduction limited to net business income. Discuss timing of purchases with CPA. 2026 tax year.

Strategy Concept: Solo 401(k) for LLC

Potential Value: Up to \$12,740+ tax savings when consulting income flows (scalable)

What It Is: A retirement plan for self-employed individuals (your LLC) allowing both employee deferrals (\$24,500 + \$8,000 catch-up = \$32,500) and employer contributions (25% of net SE income). Maximum total: \$72,000 (or \$80,000 with catch-up for age 55–59, per Rev. Proc. 2025-32). At 39% marginal rate, contributing \$32,500 = \$12,675 modeled savings; full \$80,000 = \$31,200.

How It Works:

1. Establish plan by December 31, 2026 for employee deferrals
2. Employee deferrals made from LLC income by December 31, 2026
3. Employer portion (25% of net SE income) can extend to tax filing deadline

Eligibility Criteria: Self-employment income; no full-time employees (spouse exception); plan established before year-end

Coordination Note: W-2 401(k) employee deferrals and Solo 401(k) employee deferrals share the \$24,500 + catch-up limit. If you max your W-2 401(k), only the employer portion (25% of net SE income) is available through the Solo 401(k). Discuss coordination with CPA.

Contribution amounts depend on actual LLC income. Verify coordination with W-2 plan contributions. 2026 limits per Rev. Proc. 2025-32.

Strategy Concept: Short-Term Rental + Cost Segregation (Aggressive Scenario)

Potential Value: ~\$43,700 first-year tax benefit (aggressive scenario only)

What It Is: Acquiring a short-term rental property and accelerating depreciation through a cost segregation study. Under OBBBA, 100% bonus depreciation is permanently restored for property acquired and placed in service after January 19, 2025. This is a significant enhancement over the prior TCJA phase-down schedule (which had dropped to 40% in 2025 and would have been 20% in 2026).

Cost Segregation Methodology (Corrected for OBBBA):

1. **Depreciable basis:** \$375,000 purchase price – \$75,000 land (20%) = \$300,000 building basis
2. **Cost seg reclassification:** Study reclassifies ~35% of building basis (\$105,000) to 5, 7, and 15-year property
3. **100% bonus depreciation (OBBBA):** \$105,000 reclassified $\times$ 100% = \$105,000 Year 1
4. **Remaining straight-line:** $(\$300,000 - \$105,000) = \$195,000 \div 27.5 \text{ years} = \$7,091 \text{ Year 1}$
5. **Total Year 1 depreciation:** \$105,000 + \$7,091 = \$112,091
6. **Tax benefit:** $\$112,091 \times 39\% = \sim\$43,700$

How It Works:

1. Acquire qualifying rental property; average guest stay must be 7 days or fewer for STR classification
2. Commission cost segregation study from qualified engineering firm
3. Material participation (100+ hours, more than anyone else) may allow losses against W-2 income under STR exception

Eligibility Criteria: STR with average stay ≤ 7 days; material participation requirements met; cost segregation study by qualified firm; property placed in service during tax year; property acquired after January 19, 2025 for 100% bonus depreciation

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. Cost segregation applies to building basis only (land is not depreciable). This strategy is modeled in the aggressive scenario only.

Primary Strategy Education: Retirement Acceleration & Ex-US Planning

Retirement Contribution Stacking (2026)

Given your 2029 retirement target, maximizing tax-advantaged contributions over the next 3 years is a commonly explored approach. Here is how contribution vehicles may stack for your profile:

ACCOUNT	2026 BASE	CATCH-UP (AGE 55–59)	TOTAL	TAX TREATMENT
W-2 401(k) Employee Deferral	\$24,500	\$8,000 (must be Roth*)	\$32,500	Pre-tax base + Roth catch-up
W-2 Employer Match	Varies	—	Verify with HR	Pre-tax
Mega Backdoor Roth (after-tax)	Up to plan limit	—	Verify plan allows	Roth (after conversion)
Backdoor Roth IRA	\$7,500	\$1,100	\$8,600	Roth (tax-free growth)
Solo 401(k) Employer Portion**	25% of net SE	—	Depends on LLC income	Pre-tax

**SECURE 2.0 Roth catch-up mandate applies if 2025 FICA wages exceeded \$150,000 from same employer.*

***Employee deferral shared with W-2 401(k); only employer portion available if W-2 maxed.*

2026 Contribution Limits Reference (Per Rev. Proc. 2025-32)

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50–54)	CATCH-UP (55–59)	SUPER CATCH-UP (60–63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$8,000	+\$11,250

Traditional / Roth IRA	\$7,500	+\$1,100	+\$1,100	+\$1,100
HSA (Individual)	\$4,400	—	+\$1,000	+\$1,000
HSA (Family)	\$8,750	—	+\$1,000	+\$1,000

Business mileage rate for 2026: 72.5¢/mile. Your bracket (age 55–59): standard catch-up applies. Verify all limits at IRS.gov or with your tax professional.

Ex-US Retirement & International Structuring Concepts

You indicated plans to retire ex-US in 2029 with 2–3 international properties and a Nevis LLC. Key educational concepts to explore with an international tax attorney:

TOPIC	EDUCATIONAL CONTEXT
FBAR/FATCA Reporting	U.S. citizens must report foreign financial accounts exceeding \$10,000 (aggregate) on FinCEN 114 and foreign assets over \$50,000–\$200,000 (depending on filing status) on Form 8938
Nevis LLC	Commonly used for asset protection; does not change U.S. tax obligations — still reported on Schedule C or as disregarded entity. Discuss asset protection benefits vs. compliance costs with international attorney
Self-Directed IRA	May allow real estate and alternative investments within IRA; prohibited transaction rules are strict. Custodian selection and transaction structuring are critical — discuss with specialized custodian
Foreign Tax Credits	Taxes paid to foreign governments on rental income or capital gains may be creditable against U.S. tax liability — Form 1116. Avoid double taxation through treaty provisions
PFIC/CFC Rules	Foreign entity investments may trigger Passive Foreign Investment Company or Controlled Foreign Corporation rules with complex reporting requirements
Exit Tax Considerations	Expatriation (renouncing citizenship) triggers a "mark-to-market" exit tax if net worth exceeds \$2M or average tax liability exceeds threshold. If remaining a U.S. citizen abroad, this does not apply

International tax planning is highly complex. These are educational concepts only. Consult with a qualified international tax attorney and CPA before implementing any cross-border strategy. U.S. citizens remain subject to worldwide taxation regardless of residency.

Storage Unit Auctions & Donation Strategy

ACTIVITY	TAX CONCEPT
Item Sales	Income reported on Schedule C through LLC; cost basis = auction purchase price
Donations (items)	Fair market value of donated items deductible on Schedule A (if itemizing) or through LLC; items valued over \$500 require Form 8283; over \$5,000 requires qualified appraisal
Non-Itemizer Deduction (New)	Under OBBBA, starting 2026, non-itemizers can deduct up to \$1,000 (single) in cash charitable contributions — relevant if you take the standard deduction
Record Keeping	Maintain purchase receipts, inventory logs, sales records, and donation acknowledgment letters

Discuss donation valuation methodology and substantiation requirements with your CPA. This activity may generate both income and deductions.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Based on the aggressive investment approach indicated, growth/tax-reduction goals, 5–10 hours weekly availability, and \$5K–\$10K comfortable deployment with \$50K+ liquid capital, the following scenario illustrates one possible approach.

BTC 70% Bitcoin	STRC 20% Income + Correlation	ETF 10% VTI/VOO
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ASSET CLASS	SCENARIO %	CONSERVATIVE (\$7,500)	AGGRESSIVE (\$50,000)	EDUCATIONAL RATIONALE
Bitcoin	70%	\$5,250	\$35,000	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Aligns with aggressive growth profile and 2–3 year wealth-building timeline.
STRC	20%	\$1,500	\$10,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Supports the \$40K/mo income stream goal as portfolio scales.
VTI/VOO	10%	\$750	\$5,000	VTI provides broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500. Commonly used for equity diversification alongside concentrated positions.

Capital Deployment Context:

- **Conservative scenario:** Uses midpoint of comfortable deployment (\$7,500 — the amount indicated for 31–90 day deployment)
- **Aggressive scenario:** Uses minimum liquid capital (\$50,000 — available liquid capital)
- Your existing portfolio (\$500K+ investments) provides a foundation; this scenario models new capital deployment only

These scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency investments are highly volatile and speculative. STRC yield is not guaranteed — verify current rates at time of investment. Past performance does not guarantee future results. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Modeled First-Year Value Summary (2026 Tax Year)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	W-2 401(k) Increase (\$1,000 additional × 39%)	\$390	\$390	2026 limit: \$24,500 base (+\$1K from 2025)
Tax	Augusta Rule (14 days × \$500–\$700/day × 39%)	\$2,730	\$3,822	Tax-free rental income to you; deduction for LLC
Tax	Home Office Deduction (\$750–\$1,500 × 39%)	\$293	\$585	Simplified or actual method; dedicated area
Tax	Vehicle Expense (5K–10K mi × \$0.725 × 39%)	\$1,414	\$2,828	2026 rate: 72.5¢/mile; planned purchase
Tax	Section 179 Equipment (\$2K–\$10K × 39%)	\$780	\$3,900	Computer, tech equipment through LLC; \$2.5M limit (OBBBA)
Tax	STR + Cost Segregation (100% bonus dep, OBBBA)	\$0	\$43,700	Aggressive only: \$375K property, \$300K building basis, 35% reclass, 100% bonus dep
Tax Optimization Subtotal		\$5,607	\$55,225	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (\$1,500 × 10% / \$10,000 × 12%)	\$150	\$1,200	Verify current STRC yield at time of investment

Income	ETF Dividends (\$750 × 1.5% / \$5,000 × 2%)	\$11	\$100	VTI/VOO dividend yield estimate
Investment Income Subtotal		\$161	\$1,300	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (\$5,250 × 25% / \$35,000 × 50%)	\$1,313	\$17,500	Highly volatile; not guaranteed
Growth	STRC (\$1,500 × 15% / \$10,000 × 30%)	\$225	\$3,000	Bitcoin-correlated appreciation
Growth	VTI/VOO (\$750 × 8% / \$5,000 × 12%)	\$60	\$600	Broad market / S&P 500 growth est.
Appreciation Subtotal		\$1,598	\$21,100	
CATEGORY D: REAL ESTATE (AGGRESSIVE SCENARIO ONLY)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market & occupancy dependent
RE	Property Appreciation (4.6% of \$375K)	\$0	\$17,250	National avg 3–6%; midpoint used
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build through amortization
Real Estate Subtotal		\$0	\$51,750	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (\$200–\$400/mo × 12)	\$2,400	\$4,800	Redirect over-withholding to investments

Cash Flow Subtotal		\$2,400	\$4,800	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	W-2 401(k) Contributions (2026)	\$32,500	\$32,500	\$24,500 + \$8,000 catch-up
Wealth	Backdoor Roth IRA (2026)	\$8,600	\$8,600	\$7,500 + \$1,100 catch-up (age 50+)
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free under 14-day rule
Wealth	RE Equity Position (20% down on ~\$375K)	\$0	\$75,000	Aggressive only; down payment positioned
Wealth Building Subtotal		\$48,100	\$125,900	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$57,866	\$260,075	

Important Context: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions (100% bonus depreciation, expanded Section 179). Cost segregation applies to building basis only (land excluded). Verify all figures with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

DATE	ITEM	DETAIL
April 15, 2026	2025 IRA Contribution Deadline	Last day to fund 2025 Backdoor Roth IRA (\$8,000). Confirm completion.
April 15, 2026	2025 Tax Filing	File 2025 return or extension. Coordinate any prior-year Solo 401(k)/SEP contributions.
Q1–Q2 2026	W-4 Review	Discuss W-4 adjustment with CPA to optimize withholding for 2026 deductions.
Q2–Q3 2026	HDHP/HSA Window	If switching to HDHP during open enrollment, HSA contributions become available.
Throughout 2026	Augusta Rule Events	Document each rental day with meeting minutes, agreements, FMV comparables.
By Dec 31, 2026	Solo 401(k) Establishment	Plan must exist for 2026 employee deferrals. Earlier establishment allows more planning time.
By Dec 31, 2026	401(k) Employee Deferrals	W-2 401(k): \$32,500 total. Solo 401(k) employee portion: verify coordination with W-2.
By Dec 31, 2026	Equipment Purchases (Sec 179)	Must be purchased and placed in service before year-end for 2026 deduction. \$2.5M limit under OBBBA.
By Dec 31, 2026	STR Property (if pursuing)	Property must be placed in service in 2026 for 2026 cost segregation benefit. 100% bonus dep available under OBBBA for post-Jan 19, 2025 acquisitions.
April 15, 2027	2026 IRA/HSA Deadline	Last day for 2026 Backdoor Roth (\$8,600) and HSA contributions (if applicable).

Verify all deadlines with your tax professional. Some deadlines may shift if they fall on weekends or holidays.

Questions for Your Professional Team

Questions for Your CPA

- "Based on my W-2 income and age (56), what are my maximum 2026 retirement contributions across all accounts?"
- "Do my 2025 FICA wages exceed \$150,000? If so, must my 2026 catch-up contributions be Roth under SECURE 2.0?"
- "Can I still make my 2025 Backdoor Roth contribution before April 15? Is there a pro-rata issue?"
- "What documentation do I need for the Augusta Rule? Can you help me establish fair market value?"
- "How should I coordinate W-2 401(k) and Solo 401(k) contributions if my LLC generates consulting income?"
- "What is my optimal W-4 withholding given the new LLC deductions for 2026?"
- "If I purchase an STR property, can you guide me through cost segregation and material participation documentation? Is the property eligible for 100% bonus depreciation under OBBBA?"
- "What are the FBAR/FATCA implications of my planned Nevis LLC and ex-US properties?"
- "With the SALT cap now at \$40,000 under OBBBA, should I itemize in 2026 given my Delaware income taxes?"
- "Does my LLC income qualify for the 20% QBI deduction (now permanent under OBBBA)?"

Questions for an International Tax Attorney

- "What entity structure (Nevis LLC, domestic LLC, trust) is most efficient for holding ex-US rental properties?"
- "What are the ongoing compliance costs and reporting requirements for a Nevis LLC?"
- "As a U.S. citizen retiring abroad, how do I avoid double taxation on foreign rental income?"
- "Are there treaty benefits between the U.S. and my target retirement countries that I should consider?"
- "Can a self-directed IRA hold ex-US real estate, and what are the prohibited transaction risks?"

Questions for a Licensed Financial Advisor

- "Given my 2029 retirement target, how should I balance aggressive growth with sequence-of-returns risk?"
- "How does a concentrated Bitcoin position align with a 3-year retirement timeline?"

- "What income sources can realistically generate \$40K/month, and what capital base is needed?"
- "How should I structure Roth conversions before retirement to optimize tax-free withdrawals abroad?"

Professional Team Considerations

PROFESSIONAL	ROLE IN STRATEGY IMPLEMENTATION	KEY FOCUS AREAS
CPA / Tax Strategist	Verify all tax strategy eligibility; prepare returns; coordinate multi-account contributions	2026 contribution limits, SECURE 2.0 compliance, OBBBA provisions (100% bonus dep, SALT cap, Sec 179), Augusta Rule documentation, cost segregation coordination, W-4 optimization, LLC tax elections, QBI deduction
International Tax Attorney	Structure ex-US entities; ensure FBAR/FATCA compliance; treaty planning	Nevis LLC formation, foreign property acquisition, self-directed IRA rules, exit tax analysis, trust administration (given your trustee role)
Licensed Financial Advisor (RIA)	Investment implementation; portfolio construction; risk management	Bitcoin allocation sizing, STRC yield verification, retirement income planning, sequence-of-returns risk for 2029 target
Real Estate Professional	Property identification, acquisition, management	STR market analysis, property management setup, cost segregation study coordination, material participation tracking
Estate Planning Attorney	Trust review; beneficiary coordination; asset protection	Mother's revocable trust administration, your own estate plan updates for ex-US retirement, Nevis LLC asset protection review

You indicated you are already looking to switch CPAs. Selecting a CPA experienced in both real estate tax strategies, OBBBA provisions, and international tax planning would support multiple goals in this snapshot.

2026 Milestone Considerations

QUARTER	MILESTONE CONSIDERATIONS
Q1 2026 Foundation	File 2025 taxes; fund 2025 Roth; update W-2 401(k) deferral to \$32,500; review W-4; begin CPA search if switching; review OBBBA impact on 2026 strategy
Q2 2026 LLC Activation	First consulting/coaching revenue through LLC; establish Solo 401(k) (earlier = more flexibility); Augusta Rule documentation for any Q1–Q2 events; evaluate QBI deduction eligibility
Q3 2026 Expansion	Vehicle purchase and mileage tracking; equipment purchases; STR property research (if aggressive path — note 100% bonus dep under OBBBA); HDHP/HSA review for open enrollment; begin international attorney consultations
Q4 2026 Year-End Optimization	Confirm all 401(k) deferrals are on track; complete equipment purchases by Dec 31; STR property closing (if pursuing); review year-end tax position with CPA; evaluate SALT itemization (\$40K cap); plan 2027 strategy
Q1 2027 2026 Wrap-Up	Fund 2026 Backdoor Roth by April 15, 2027; file 2026 taxes; review first-year results against this snapshot; adjust 2027 plan

These milestones are for planning awareness, not commitments. Adjust timing based on actual business revenue, market conditions, and professional team guidance.

Educational Resources

Key IRS Publications

PUBLICATION	TOPIC
IRS Pub 560	Retirement Plans for Small Business (Solo 401(k), SEP)
IRS Pub 587	Business Use of Your Home
IRS Pub 463	Travel, Gift, and Car Expenses
IRS Pub 946	Depreciation / Section 179
IRS Pub 527	Residential Rental Property
IRS Pub 54	Tax Guide for U.S. Citizens Abroad
FinCEN Form 114	FBAR Reporting (Foreign Bank Accounts)
IRS Notice 2026-10	2026 Standard Mileage Rates (72.5¢/mile business)
Rev. Proc. 2025-32	2026 Contribution Limits and Tax Bracket Thresholds

For educational reference only. Tax publications are updated annually — verify you are using the current year's edition.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of February 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

Limitation of Liability: Legacy Investing Show assumes no liability for actions taken based on information in this educational document. You are solely responsible for your financial decisions.

Wealth Strategy Snapshot: Educational Analysis

Prepared for Philip Griffin | February 2026

2026 Tax Year Planning

**Modeled First-Year Value: \$57,866 (Conservative) — \$260,075
(Aggressive)**

Consult Licensed Professionals Before Implementation